

is for the world economy to continue growing at 3.2% during 2024 and 2025, at the same pace as in 2023. And the forecast for global growth five years from now—at 3.1%—is at its lowest in decades, it noted in its World Economic Outlook this April. Global commodity and food prices have remained high, leading to a cost of living crisis in many advanced economies, although there are hopes of some easing this year. Global inflation is forecast to decline steadily, from 6.8% in 2023 to 5.9% in 2024 and 4.5% in 2025, according to the IMF. This, then, is a good juncture to stop and reflect on the current state of capitalism, which in some form or another is prevalent across most countries.

Part economic history, which takes us right back to the 19th century, and part commentary on recent economic events, the book often gives almost a fly-on-the-wall account of developments such as the 2008 financial crisis and the policy response of the US government at that time. Interestingly, the book also delves into many current and emerging challenges faced by economies and policymakers, such as the rise of zombie companies—firms that earn too little to even cover interest payments for as long as three years running—and technological developments and anti-trust regulations in the digital sector.

While no economic system is foolproof or perfect, Sharma argues in his book that the state capitalism in the West is in is not because it has run its natural course, but because it was diverted and subverted by successive governments. He contends that if younger generations, who are frustrated with the current ills of capitalism, want to correct it, then the first step is to get the diagnosis right. His book, then, is an attempt to re-examine the causes of these ills and what can be done to correct them.



INTERVENTIONIST STATES Ruchir Sharma argues that the state capitalism in the West is in is because it was diverted and subverted by governments

“Flaws that economists blame on ‘market failures’ including inequality and inordinate corporate power, often flow more from government excesses. In particular, constant government support and intervention in financial markets has crippled the competition that would break up concentrations of personal and corporate power, were capitalism allowed to function properly,” Sharma writes.

If capitalism has to go back to its roots and be ready to take on the 21st century, then governments and political leaders must find a balance between the excesses of the past several decades and shift away from the old mental models of the economy. Rather than thinking of capitalism as a well-oiled machine, an attempt must be made to think of it as a natural ecosystem. And just like the current generation of modern

voters are against an intervention in nature—cutting down forests or razing mountains—governments and central bankers must be made to realise that intervening too much in the market economy, where 8 billion people do business, is not right.

Some may find some of the assertions debatable, but Sharma’s account of economic developments, tracing the rise of many economic problems, provides a cogent and compelling view on how economic and social progress can be achieved through a capitalism that’s better than before. It’s a must-read for students, policymakers, central bankers, and anyone interested in economic policymaking. **BT**

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